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Taking decentralization seriously

The Constitution of India is imbued with federalism: it envisions India as a union of states. It cut up all the work of government into three lists. The Union government would deal with List 1 questions, the states would deal with List 2 questions, and the two sides would amicably figure out how to deal with the concurrent list.

India is a vast and diverse country. The most salient problems vary from one place to another, and the most effective solution varies from one place to another. The constitutional scheme is a wise one. What constitutes a good solution for education policy in Kerala (where schools are closing down as the number of children is declining) is likely to differ strongly from the corresponding solution in Uttar Pradesh.

When schools are financed through the Union government's scheme *Sarva Shiksha Abhiyaan*, however, there is considerable standardization all across the country. Such centralization of policy design, at the Union government, has come about in numerous areas. In many respects, we have deviated from the constitutional scheme, and gone too far in centralizing power in New Delhi.

In the US, the phrase 'laboratories of democracy' has come to be used about states. This emphasizes the role of democratic processes in multiple states coming up with different policy strategies, out of which knowledge and experience are improved for the entire country. If there was only one powerful Central government, these gains from experimentation would be lost. In each field, 'regional role models' should emerge, e.g., perhaps